



A Member of The Linde Group

BOC Kenya Limited

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1st April, 2015

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road, off Kilimanjaro Avenue
Upperhill
P O Box 74800
NAIROBI

Dear Sir/Madam

ANNOUNCEMENT

We have pleasure in enclosing 5 copies of an announcement by our Board of Directors in respect of our annual results for 2014.

Yours faithfully

Maria Msiska
MANAGING DIRECTOR

Cc: The Chief Executive Officer
The Nairobi Stock Exchange
55 Westlands Road
Westlands
NAIROBI

The Chief Executive Officer
Central Depository & Settlement
Corp. Limited
10th Floor Nation Centre
Kimathi Street
NAIROBI

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Directors: N. Kiuna (Chairman), M. Msiska** (Managing), W. Coetzee*, C. Musyoka, R. Mbugua, N. Thomson*, A. Kamau

*South African **Malawian

AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

The Directors of BOC Kenya Limited are pleased to announce the audited Group results for the year ended 31 December 2014

Summarised consolidated statement of profit or loss For the year ended 31 December 2014		
	2014 KShs '000	2013 KShs '000
Revenue	1,296,679	1,242,602
Earnings before finance income and taxes	200,850	231,125
Net Finance income	77,134	77,267
Profit before tax	277,984	308,392
Income tax expense	(48,359)	(105,756)
Profit for the year	229,625	202,636
Basic earnings per share	11.76	10.38

Dividend per share out of profit for the year:		
Interim paid	KShs 2.20	KShs 2.60
Final proposed	KShs 3.00	KShs 2.60
Total dividend	KShs 5.20	KShs 5.20

Summarised consolidated statement of financial position As at 31 December 2014		
	2014 KShs '000	2013 KShs '000
ASSETS		
Non-current assets	1,117,163	1,421,589
Current assets	1,183,157	1,211,504
Total assets	2,300,320	2,633,093
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,375,638	1,239,735
Other reserves	273,923	738,698
Total equity	1,747,188	2,076,060
Non-current liabilities	-	13,022
Current liabilities	553,132	544,011
Total liabilities	553,132	557,033
Total equity and liabilities	2,300,320	2,633,093

Summarised consolidated statement of cash flows For the year ended 31 December 2014		
	2014 KShs'000	2013 KShs'000
Cash generated from operations	212,362	299,311
Tax paid	(109,037)	(160,119)
Net cash from operating activities	103,325	139,192
Interest & Dividends received	71,263	50,891
Cash used in investing activities	(656)	(52,320)
Cash used in financing activities (Dividends paid)	(93,722)	(110,319)
Increase in cash and cash equivalents	80,210	27,444
Cash & cash equivalents:		
At beginning of the year	406,611	379,167
Net increase	80,210	21,138
Effect of exchange rates	(8,663)	6,306
At the end of the year	478,158	406,611

Summarised consolidated statement of changes in equity For the year ended 31 December 2014		
	2014 KShs'000	2013 KShs'000
At 1 January	2,076,060	1,454,811
Net profit for the year	229,625	202,636
Change in available for sale financial assets	(442,681)	522,376
Translation differences	(7,626)	6,556
Deferred tax on capital gains	(14,468)	-
Dividends	(93,722)	(110,319)
At 31 December	1,747,188	2,076,060

Overview:

Revenue for the year ended 31 December 2014 was Kshs 1,296 million, up 4.4%. Sales were negatively impacted by competition from medical oxygen imports and a change in the Group's sales mix. A generally more competitive market place limited the Group's ability to recover cost increases through pricing.

A significant cost increase was on electricity, a major input in the Group's production process for gases. Electricity costs increased by 19% over prior year, which was driven by higher fuel cost adjustments on electricity bills together with increased tariffs compared to prior years. The fuel cost adjustment only began to abate towards the end of the year.

Profit before tax was down 9.9%% down due to pressure on margins as well as a revision in the calculation methodology for stock obsolescence allowances that was effected in order to comply with Group accounting policies.

Outlook:

The Board expects that there will be a stable macro-economic environment to provide a platform for the Company to grow in 2015, and is pleased to note that the fuel cost component of electricity costs has been on a downward trend. A new oxygen filling facility was commissioned in Tanzania in January 2015. With this facility, it is expected that the Group will be well placed to capture business opportunities in Tanzania through improved product availability.

Dividend:

The Board of Directors is pleased to recommend the payment of a final dividend of Kshs 3.00 per share (2013: KShs 2.60) bringing the total dividend for the year to KShs 5.20 (2013: KShs 5.20) to be paid net of withholding tax on or around 30 June 2015 to shareholders on the register at close of business on 8 May 2015.

The Board of Directors also announce that the Annual General Meeting of the Company will be held on 19 June 2015.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA LIMITED

2 April 2015

These results are extracted from the consolidated financial statements of BOC Kenya Limited for the year ended 31 December 2014, as audited by KPMG Kenya, Certified Public Accountants, and on which an unqualified opinion has been issued.